

with wild and woolly stories. We accept the accompanying risks for one reason only—to make a big score . . . a home run . . . lots and lots of money!

In order to enter and stay within the coveted “winner’s circle,” the speculator must be practical and objective, pragmatic and disciplined and, above all, independent and confident in his analysis and market strategy. One of my most valuable maxims comes from Jesse Livermore, and it bears serious reflection: “There is only one side of the market . . . the right side.” Period.

*We do not trade for the action, the excitement
or to entertain friends with wild and woolly
stories. We accept the accompanying risks
for one reason only—to make a big score . . .
a home run . . . lots and lots of money!*

Futures trading is part science (technical) and part art (instinctive). This includes a sound and viable investment strategy and a practical sense of money management.

Some years ago, when I was operating my own clearing firm, two friends and I got together to formulate a strategy for trading in cocoa. The market was then around 12¢, and the bottom line of our analysis projected a bull move to the 22¢ area over the intermediate term. Simple enough, right?

We all started buying the next day around the 12¢ level and over the next few months, our analysis proved quite accurate. The market did advance to the low 20s. And I made some money on the move, although not as much as I should have. Cocoa has always been my nemesis and it continues to be.

But during the same period of time, my two friends lost some \$200,000 in their cocoa operations. Why? Their market strategy was perverse, their trade timing terrible and